IOs, understanding these motivations is critical to crafting effective strategies for navigating populist challenges, whether through appeasement, sidelining, or a combination of the two.

2.4.2 IO Leaders and Bureaucrats

We argue that IO leaders and bureaucrats possess significant agency in the face of populist challenges. Their careers and the viability of their institutions depend on maintaining the robustness and legitimacy of the IOs they serve (Gray 2018; Tallberg and Zürn 2019). When populist leaders challenge these institutions, IO staff and leaders must adapt to threats while safeguarding the organization's core mission and long-term survival.

For IO bureaucrats, the stakes are personal as well as institutional. Their professional reputations hinge on their ability to deliver results, and populist resistance threatens to derail this. If IOs falter as a result of insufficient financial or informational inputs from member states, staff may face performance penalties, layoffs, or pay cuts (Heinzel and Liese 2021). These public servants are thus incentivized to ensure that their organizations not only persist but thrive.

Yet bureaucrats are not simply careerists. Over time, they become deeply embedded in their institutions, shaped by organizational routines, norms, and decision-making processes. This engenders path dependence that makes them resistant to sweeping change, even in the face of populist threats. Rather than pursuing radical reforms, bureaucrats often take a pragmatic approach, neutralizing populist challenges through appeasement on peripheral issues or by working around them. These strategies enable IOs to maintain their core functions and long-term objectives while projecting an image of flexibility. They are also consistent with documented patterns of incremental reform in IOs (Kaya 2015; Carnegie and Clark 2023).

When confronted with disruptive populist leaders, bureaucrats often prioritize minimizing losses (Kahneman and Tversky 1979). Cognitive biases may steer decision making toward strategies like appeasement or sidelining, which mitigate immediate risks but can sometimes erode institutional norms or integrity. These approaches are seen as the lesser of two evils, preserving the IO's operations in the short term while avoiding more severe disruptions.